

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 22-34

SEAFAIR USA LLC

VS.

**STERLING CONTAINER LINE LIMITED AND
ATLANTIC FORWARDING LTD.**

**RESPONDENTS' RESPONSES TO COMPLAINANT'S
PROPOSED FINDINGS OF FACT**

Supplement No. 1 to Respondents' Opposition Brief

**RESPONDENTS' RESPONSES TO COMPLAINANT'S
PROPOSED FINDINGS OF FACT**

Respondents Sterling Container Line Limited ("Sterling") and Atlantic Forwarding Ltd. ("Atlantic," and together with Sterling "Respondents"), by and through undersigned counsel, hereby submit their Responses to Complainant's Proposed Findings of Fact.

I. Response to SeaFair's Proposed Findings of Fact

1. **SF PFF 1.** SeaFair is a Florida limited liability company with its principal place of business at 3740 West 104th Street, Suite 16, Hialeah Gardens, FL 33018.

Response: Admit/agreed.

2. **SF PFF 2.** Sterling is a company organized under the laws of Hong Kong with its principal place of business at Flat/Rm 722, 7/F, Metroplaza, Tower 2, 223 Hing Fong Road, Kwai Fong, N.T., Hong Kong.

Response: Admit/agreed.

3. **SF PFF 3.** Sterling is a foreign Non-Vessel-Operating Common Carrier ("NVOCC") registered with the Federal Maritime Commission ("FMC") under no. 016481. The bond is held by United States Fire Insurance Company ("USFIC").

Response: Admit/agreed.

4. **SF PFF 4.** Atlantic is a company organized under the laws of Switzerland with its principal place of business at Grosspeteranlage 29, 4052 Basel, Switzerland. Atlantic is an ocean transportation intermediary; it is not registered with FMC.

Response: Admit/agreed.

5. **SF PFF 5.** Sterling is a subsidiary of Atlantic Airfreight Systems Ltd. Hongkong and Atlantic Forwarding (China) Limited, which are subsidiaries of Atlantic Speditions AG

Switzerland. See *Respondent Sterling Container Line Limited's Verified Response to Complainant's Second Set of Interrogatories, No. 2. Appendix 1* at SFOB-APP-01-0003.

Response: Admit/agreed.

- 6. SF PFF 6.** Mediterranean Shipping Company S.A. ("MSC"), one of the world's largest vessel operating common carriers ("VOCC"), through its fully owned subsidiaries, it owns 96% of Atlantic's shares. See **Appendix 2** at SFOB-APP-02-0001.

Response: SeaFair's Appendix 2 at SFOB-APP-02-0001 contains a German-language "Orbis"/"Bureau van Dijk" entity search for the non-party Singaporean entity Atlantic Forwarding PTE Ltd. Atlantic's only shareholder is SAS Shipping Agencies Services SARL in Luxembourg.

- 7. SF PFF 7.** Beginning in May 2021, Respondents engaged SeaFair to act as their destination agent and to handle document turnover in the United States for shipments carried under Sterling's house bills of lading ("HBLs").

Response: Respondents initially entered into a business relationship with SeaFair in June 2018 (see Respondents' Appendix 1 at RX-APP-01-001). Admit that beginning in or around May 2021, Respondents engaged SeaFair to act as their destination agent and to handle document turnover in the United States for shipments carried under Sterling's house bills of lading ("HBLs").

- 8. SF PFF 8.** These HBLs were issued by various branch offices of Atlantic who were acting as agents of Sterling.

Response: Admit/agreed.

- 9. SF PFF 9.** Pursuant to the agreement between Respondents and SeaFair, SeaFair's compensation for the document turnover service is \$55 per bill of lading. The existence of the agreement is evidenced by Respondents being billed and paying the document turnover fees for shipments not subject to this lawsuit.

Response: Admit/agreed that through course of dealing, Respondents compensated SeaFair \$55 per bill of lading.

10. SF PFF 10. For destination services, pursuant to the agreement between Respondents and SeaFair, SeaFair collected and/or attempted to collect payment for the charges related to steamship lines, associated terminals, and other logistics companies on behalf of Sterling and its shipping agent, Atlantic, plus the bank fees SeaFair incurred in remitting the collected charges to the steamship lines, terminals and/or logistics companies (which are termed “Carrier Processing Charge/Fee” or “CPC”).

Response: Respondents admit and agree that pursuant to the course of dealing between Respondents and SeaFair, SeaFair was responsible for collecting and/or attempting to collect payment for certain charges incurred upon arrival of the vessel at destination port. It is unclear to Respondents what SeaFair intends to mean in the following portion of SF PFF 10: “...plus the bank fees SeaFair incurred in remitting the collected charges to the steamship lines, terminals and/or logistics companies (which are termed “Carrier Processing Charge/Fee” or “CPC”).” Pursuant to Atlantic Forwarding Group’s General Rules and Conditions, “[e]ach party has to pay their own bank charges when remitting funds.” (See Respondents’ Appendix 1 at RX-APP-01-001).

11. SF PFF 11. On March 1, 2022, SeaFair filed a claim with Sterling’s bondholder, USFIC, for \$138,422.00, which represented the outstanding balance of \$137,632.00 owed to SeaFair plus \$790.00 in attorney’s fees (the attorney fees incurred as of that date) (the “First Claim”). See the claim letter attached as **Appendix 3**.

Response: Admit that on March 1, 2022, SeaFair filed a claim with Sterling’s bondholder, USFIC, for \$138,422.00, demanding \$137,632.00 owed to SeaFair plus \$790.00 in attorney’s fees.

12. SF PFF 12. After negotiations spanning the course of several months, and despite partial payment made to SeaFair by Atlantic, SeaFair and Respondents were unable to reach a settlement. The amount still outstanding under the First Claim is \$8,920.00 plus attorney's fees that continue to accrue. See the table attached as **Appendix 4** which was Exhibit 2 to the Complaint. The unpaid invoices are attached as **Appendix 5**. The correspondence identifying the unpaid invoice is attached as **Appendices 6 - 7**. The unpaid amount represents unpaid document turnover fees for 162 shipments.

Response: Admit that after negotiations spanning the course of several months, and despite partial payment made to SeaFair by Atlantic, Respondents denied and disputed in good faith the remaining amount owed and, accordingly, SeaFair and Respondents were unable to reach a settlement. Admit that on August 22, 2022, (in a message labeled as "Confidential Settlement Correspondence/Rule 408" but nonetheless included as SeaFair's Appendix 7), Respondents offered to pay SeaFair \$8,920.00 in connection with certain outstanding document turnover fees identified in the First Claim even though it was the opinion of Respondents that certain shipments were terminated that SeaFair still sought to invoice the Respondents. (*See, e.g.,* Complainant's Appendix 7 at SFOB-APP-07-001-002; Respondents' Appendix 8 at RX-APPP-08-001 – 002). Even so, 162 shipments at \$55 per bill of lading would total \$8,910.00.

13. SF PFF 13. While SeaFair and Respondents discussed the First Claim, other invoices for an additional \$321,533.52 in destination charges (which include the charges from steamship lines, associated terminal and other logistics companies and the CPC charges) and \$5,500.00 in document turnover fees remained unpaid.

Response: Admit that \$5,500 in document turnover fees were identified by SeaFair as due and owing by Respondents. Respondents accepted liability for these invoices, totaling \$5,500, as

stated in a letter to SeaFair on November 28, 2022. (*See, e.g.*, Respondents' Appendix 7 at RX-APP-07-001). Respondents lack the information required to admit or deny that "other invoices for an additional \$321,533.52 in destination charges (which include the charges from steamship lines, associated terminal and other logistics companies and the CPC charges)...remained unpaid" - as these invoices were issued by non-party MSC and had nothing to do with Respondents. Respondents admit that SeaFair demanded \$321,533.52 in destination charges from the Respondents that "were paid by SeaFair on behalf of Atlantic Forwarding and/or Sterling" on August 3, 2022. (Complainant's Appendix 6 at SFOB-APP-06-0009).

14. SF PFF 14. SeaFair demanded payment for these new charges together with payment for the First Claim in correspondence with Respondents sent on August 03, 2022. See **Appendix 6.**

Response: Admit that SeaFair demanded payment for certain document turnover fees and destination charges together with payment for the First Claim in correspondence to Respondents sent on August 03, 2022. (Complainant's Appendix 6). Respondents disagree with SeaFair's characterization of the destination charges as "new," as the non-party MSC invoices identified by SeaFair in Complainant's Appendix 10 date back to at least December 2021. (*See, e.g.*, Complainant's Appendix 10 at SFOB-APP-10-0001).

15. SF PFF 15. In their response to the August 03, 2022, letter, Respondents stated they would address the new demand for \$327,033.52 separately and only addressed issues pertaining to the First Claim. See **Appendix 7** at SFOB-APP-07-0001.

Response: Admit that in Respondents response to the August 03, 2022 letter, Respondents stated they would address the First Claim and the new demand for \$327,033.52 separately. There were numerous ongoing/unresolved inconsistencies and inaccuracies associated with the identified

invoices SeaFair set forth in the First Claim (including duplicative claims for invoices that were paid by respondents in March 2022). (*See, e.g.*, Complainant’s Appendix 7 at SFOB-APP-07-001 - 002; Respondents Appendix 8 at RX-APP-08-001 – 002).

16. SF PFF 16. Therefore, on October 14, 2022, SeaFair presented a second claim letter to USFIC pursuant to 46 CFR § 515.23(b) in the amount of \$327,033.52 (the “Second Claim”). See **Appendix 8**.

Response: Admit that on October 14, 2022, SeaFair presented a second claim letter to USFIC pursuant to 46 CFR § 515.23(b) in the amount of \$327,033.52 (the “Second Claim”).

17. SF PFF 17. As of the date of filing this Brief, the unpaid destination charge is \$294,283.88, while the unpaid CPC charges are \$18,090.00.

Response: Respondents have not issued any invoices to SeaFair in connection with the destination charges or CPC charges identified in SF PFF 17, and do not have sufficient information to admit or deny the status of SeaFair’s current accounts with non-party MSC.

18. SF PFF 18. The unpaid destination charge in the amount of \$294,283.88 is the amount owed to MSC. MSC’s statement of account is attached as **Appendix 9**. The spreadsheets attached to MSC’s statement of account are attached as **Appendices 9.1-9.5**.

Response: Respondents have no reason to deny the amount that SeaFair alleges that SeaFair itself owes to non-party MSC. Respondents lack the information required to admit or deny the validity of non-party MSC’s statement of account attached as Appendix 9. Respondents have no reason to deny that the spreadsheets attached to non-party MSC’s statement of account are attached as Appendices 9.1-9.5. Appendix 9 appears to contain a purported statement of account from MSC to SeaFair identifying an outstanding total of \$306,971.88. (Complainant’s Appendix 9 at SFOB-APP-09-0001).

19. SF PFF 19. The underlying MSC invoices are attached as **Appendix 10**.

Response: Respondents did not issue the invoices identified in Appendix 10, but have no reason to deny the validity of the MSC invoices attached as Appendix 10.

20. SF PFF 20. MSC's statement of account shows the amount owed for master bills of lading listed in **Appendix 11** which was Exhibit 2 to *SeaFair's First Request for Admission*. A selection of the MBLs that have been produced in the discovery process are attached as **Appendix 12**.

Response: Respondents cannot admit or deny the process that went into calculating non-party MSC's statement of account for SeaFair. Respondents admit that a selection of MSC MBL's are attached as Appendix 12.

21. SF PFF 21. The HBLs corresponding to the MBLs listed in **Appendix 11** issued by Sterling are attached as **Appendix 13**.

Response: Upon information and belief, the Sterling HBLs listed in Appendix 13 issued by Sterling correspond to the MSC MBLs listed in Appendix 11.

22. SF PFF 22. Respondents refuse to verify the authenticity of the master bills of lading by MBL numbers. See *SeaFair's First Request for Admission* attached as **Appendix 14** and *Respondents' Response to Request for Admission, No 6*. Attached as **Appendix 15** at SFOB-APP-15-0005 and SFOB-APP-15-0014.

Response: Respondents did not refuse to verify the authenticity of the master bills of lading by MBL numbers, but rather objected to the Request due to the reasons stated in its Response.

23. SF PFF 23. On these MBLs, the shipper is identified as "Atlantic Forwarding (China) Co., Ltd (various branches) as Agent of Sterling Container Line Limited" and the consignee is

identified as “SeaFair LLC as Agent of Sterling Container Line Limited.” See **Appendix 12**.

Response: Denied. Respondents admit that on the 20 Sea Waybill MSC MBLs identified in Complainant’s Appendix 12, the shipper is identified as “Atlantic Forwarding (China) Co., Ltd.” [various branches] “as Agent of Sterling Container Line Limited.” For two MBLs identified in Appendix 12, the Consignee is identified as “SeaFair USA LLC as Agent of Sterling Container Line Limited.” (See Appendix 12 at SFOB-APP-12-0002 and SFOB-APP-12-0021). For eighteen MBLs identified in Appendix 12, the Consignee is identified as “SeaFair USA LLC.” (See Appendix 12 at SFOB-APP-12-0040; SFOB-APP-12-0059; SFOB-APP-12-0078; SFOB-APP-12-0097; SFOB-APP-12-0116; SFOB-APP-12-0135; SFOB-APP-12-0154; SFOB-APP-12-0173; SFOB-APP-12-0192; SFOB-APP-12-0211; SFOB-APP-12-0230; SFOB-APP-12-0249; SFOB-APP-12-0268; SFOB-APP-12-0287; SFOB-APP-12-0306; SFOB-APP-12-0325; SFOB-APP-12-0344; and SFOB-APP-12-0363).

24. SF PFF 24. Respondents refuse to verify the authenticity of the house bills of lading by HBL numbers. See *SeaFair’s First Request for Admission* attached as **Appendix 14** and *Respondents’ Response to Request for Admission, No 1*. Attached as **Appendix 15** at SFOB-APP-15-0002, SFOB-APP-15-0011.

Response: Respondents did not refuse to verify the authenticity of the house bills of lading by HBL numbers, but rather objected to the Request due to the reasons stated in its Response. Admit that the Sterling HBLs identified in Complainant’s Appendix 13 generally state that Sterling was the Carrier.

25. SF PFF 25. However, Respondents admitted that Sterling’s house bills of lading typically contain the three identifying letters “SCL.” See *Respondents’ Response to Request for Admission, No 1. Appendix 15* at SFOB-APP-15-0002 and SFOB-APP-15-0011.

Response: Admit/agree.

26. SF PFF 26. All bill of lading numbers on the bills attached as **Appendix 13** contain the three identifying letters “SCL.”

Response: Denied. Admit/agree that there are bill of lading numbers on the bills identified in Appendix 13 that contain the three identifying letters SCL. Others do not. For example, some bills of lading in Appendix 13 were issued by Atlantic Ocean Line as Carrier with a bill of lading number beginning with “ATL.” (*See, e.g., Appendix 13 at SFOB-APP-13-0191-0192*).

27. SF PFF 27. All bills of lading attached as **Appendix 13** indicate Sterling as the Carrier.

Response: Denied. Admit/agree that there are bills of lading in Appendix 13 that list Sterling as Carrier. Others do not. For example, at least two bills of lading in Appendix 13 were issued by Atlantic Ocean Line as Carrier with a bill of lading number beginning with “ATL.” (*See, e.g., Appendix 13 at SFOB-APP-13-0191-0192*).

28. SF PFF 28. All bills of lading attached as **Appendix 13** indicate SeaFair as the destination agent.

Response: Upon information and belief, admit/agree.

29. SF PFF 29. MSC’s bill of lading terms and conditions are attached as **Appendix 16**.

Response: Respondents admit that Appendix 16 contains a copy of MSC’s Sea Waybill terms and conditions.

30. SF PFF 30. In the relevant part, MSC’s bill of lading terms and conditions provide the following:

Merchant: includes the Shipper, Consignee, holder of this Sea Waybill, the receiver of the Goods and any Person owning, entitled to or claiming the possession of the Goods or of this Sea Waybill or anyone acting on behalf of this Person. Freight: includes the freight and all charges, costs and expenses whatsoever payable to the Carrier in accordance with the applicable Tariff and this Sea Waybill, including storage, per diem and demurrage.

16.1 Freight has been calculated on the basis of the Shipper's particulars and if such particulars are found to be erroneous and additional Freight is payable, the Merchant shall be liable therefor and also for any expense thereby incurred.

16.2 All Freight is earned and due upon receipt of the Goods by the Carrier, whether the Freight is prepaid or collect and the Carrier shall be entitled to all Freight due under all circumstances, ship and/or cargo lost or not lost or the voyage abandoned. All Freight shall be paid when due without any set-off, counter claim, or deduction.

16.3 Every Person defined as "Merchant" in clause 1 shall be jointly and severally liable to the Carrier for the payment of all Freight and charges and for the performance of the obligations of each of them hereunder. Any Person engaged by the Merchant to perform forwarding services with respect to the Goods shall be considered to be exclusively the Merchant's agent for all purposes, and any payment of Freight to such Person shall not be considered payment to the Carrier in any event whatsoever. Failure of such third parties to pay any part of the Freight to the Carrier shall be considered a default by the Merchant in the payment of Freight.

Response: Admit/agree.

31. SF PFF 31. Sterling's bill of lading terms and conditions are attached as **Appendix 17.**

Response: Admit/agree.

32. SF PFF 32. In the relevant part, Sterling's bill of lading terms and conditions provide the following:

"Merchant' includes the Shipper, Consignee, holder of this Bill of Lading, the receiver of the Goods and any Person owning, entitled to or claiming the possession of the Goods or of this Bill of Lading or anyone acting on behalf of this Person." (Paragraph 1)

"Every Person defined as 'Merchant' in clause 1 shall be jointly and severally liable to the carrier for the payment of all Freight and charges and for the performance of the obligations of each of them hereunder. Any Person engaged by the Merchant to perform forwarding services with respect to the Goods shall be considered to be exclusively the Merchant's agent for all purposes, and any payment of Freight to such Person shall not be considered payment to the Carrier in any event whatsoever. Failure of such third parties

to pay any part of the Freight to the Carrier shall be considered a default by the Merchant in the payment of Freight.” (Paragraph 17.3)

Response: Admit/agree.

33. SF PFF 33. Sterling’s FMC Tariffs also contain two rules, effective as of June 14, 2014.

These rules are titled “Carrier Terminal Rules And Charges” and “Use of Carrier Equipment.” See **Appendix 18**.

Response: Admit/agree.

34. SF PFF 34. Both rules read, in relevant part,

Carrier does not operate terminals at origin or destination. Except as otherwise provided in tariff rate items, all shipments will be subject to the origin and destination terminal charges assessed by the underlying ocean carrier, including demurrage charges, whose vessel will be clearly identified on bills of lading.

Carrier does not own or lease equipment. When equipment is provided to shippers and/or consignees by Vessel Operating Common Carriers (VOCCs) the VOCC, either directly or via the carrier, provisions as published by the VOCC in its FMC tariff, including detention charges, will be for the account of the cargo.

Response: Admit that Sterling’s tariff states “Carrier does not operate terminals at origin or destination. Except as otherwise provided in tariff rate items, all shipments will be subject to the origin and destination terminal charges assessed by the underlying ocean carrier, including demurrage charges, whose vessel will be clearly identified on bills of lading.” (Complainant’s Appendix 18 at SFOB-APP-18-0024). Respondents are unable to identify the “Use of Carrier Equipment” provision in Complainant’s Appendix 18, as no citation was provided, and therefore cannot admit or deny the same.

35. SF PFF 35. In connection with the master bills of lading listed in **Appendix 11**, SeaFair received invoices from MSC, the carrier, attached as **Appendix 10**.

Response: Respondents did not issue the invoices contained in Appendix 10, but have no reason to dispute the validity or accuracy of this proposed finding of fact.

36. SF PFF 36. All invoices in **Appendix 10** list charges associated with destination charges (including equipment charges) and are invoiced to SeaFair.

Response: Respondents admit that the MSC invoices identified in Appendix 10 appear to be labeled “freight invoice” and are directed to SeaFair USA LLC.

37. SF PFF 37. All destination charges invoiced in **Appendix 10** are labeled as “congestion surcharge,” “import detention,” “container facility charge,” “chassis usage charge,” and “rail detention,” etc.

Response: Respondents admit that the MSC invoices identified in Appendix 10 contain various references to “congestion surcharge,” “import detention,” “container facility charge,” and “chassis usage charge,” among other charges.

38. SF PFF 38. After receiving the invoices from MSC attached as **Appendix 10**, SeaFair provided the invoices attached as **Appendix 19** to the consignees on the bills of lading in **Appendix 13**.

Response: Respondents lack the information required to admit or deny that SeaFair provided each of the invoices attached as Appendix 19 to the consignees on the bills of lading identified in Appendix 13.

39. SF PFF 39. When the consignees refused to pay the invoices attached as **Appendix 19**, SeaFair, pursuant to the indemnity clause Terms and Conditions of Service, issued or turned the invoices attached as **Appendix 20** to Respondents.

Response: Respondents admit that Appendix 20 contains invoices and credit notes issued by SeaFair to various branches of Atlantic Forwarding entities, including (i) ATLANTIC

FORWARDING (CHINA) CO., LTD. (Shanghai, CN) (SFOB-APP-20-0001 (Credit Note); SFOB-APP-20-0003 (Invoice)); (ii) ATLANTIC FORWARDING (CHINA) CO., LTD (Qingdao, CN) (SFOB-APP-20-0002 (Credit Note); SFOB-APP-20-0009 (Invoice)); (iii) ATLANTIC FORWARDING (CHINA) CO., LTD (Shenzhen, CN) (SFOB-APP-20-0004 (Invoice); SFOB-APP-20-0013 (Invoice)); (iv) ATLANTIC FORWARDING CO., LTD. (Bangkok, Thailand) (SFOB-APP-20-0005; Invoice); (v) ATLANTIC FORWARDING (CHINA) CO., LTD (Tianjin, CN) (SFOB-APP-20-0006; Invoice); (vi) ATLANTIC FORWARDING (CHINA) CO., LTD (Xiamen, CN) (SFOB-APP-20-0007; Invoice); (vii) ATLANTIC FORWARDING (CHINA) CO., LTD (Ningbo, CN) (SFOB-APP-20-0008; Invoice); (viii) SAFEWATER LINES INDIA PRIVATE LIMITED (Ghaziabad, IN) (SFOB-APP-20-0010 (Invoice); SFOB-APP-20-0014 (Invoice)); and (ix) PT. MITRA ATLANTIC NUSANTARA (Jakarta, IN) (SFOB-APP-20-0011 (Invoice); SFOB-APP-20-0012 (Invoice)). Respondents lack the information required to admit or deny that the consignees refused to pay the invoices identified in Complainant's Appendix 19.

40. SF PFF 40. SeaFair conducts its business under its terms and conditions of service which is available at https://www.seafairgroup.com/wp-content/uploads/2021/05/usa_ffw_terms_and_conditions.pdf. A copy of the terms and conditions is attached as **Appendix 21**.

Response: Admit/agree that the URL provided displays a copy of SeaFair “Terms and Conditions of Service.”

41. SF PFF 41. Communications from SeaFair are generally signed with a line that reads as follows: “All SeaFair USA LLC business is governed by our terms and conditions of service which can be accessed using the following link...” An example of this notice can

be seen on email chains provided to SeaFair as Respondent's Exhibit 13 to their first document production, attached here as **Appendix 22** at SFOB-APP-22-0002.

Response: Admit/agree that some electronic communications from SeaFair include the language stated.

42. SF PFF 42. SeaFair's Terms and Conditions of Service read, in relevant part, as follows:

These terms and conditions of service constitute a legally binding contract between the "Company" and the "Customer".

1. Definitions

(a) "Company" shall mean SEAFAIR USA, LLC, its subsidiaries, related companies, agents, and/or representatives.

(b) "Customer" shall mean the person for which the Company is rendering service, as well as its agents and/or representatives, including, but not limited to... consignees.

2. Company as Agent

The Company acts as the "agent" of the Customer for the purpose of performing duties in connection with the entry and release of goods, post entry services, the securing of export licenses, the filing of export documentation on behalf of the Customer and other dealings with Government Agencies...

11. Indemnification/Hold Harmless

The Customer agrees to indemnify, defend, and hold the Company harmless from any claims and/or liability ... arising from the importation or exportation of customers merchandise ... and further agrees to indemnify and hold the Company harmless against any and all liability, loss, damages, costs, claims, penalties, fines and/or expenses, including but not limited to reasonable attorney's fees, which the Company may hereafter incur, suffer or be required to pay by reason of such claims; in the event that any claim, suit or proceeding is brought against the Company, it shall give notice in writing to the Customer by mail at its address on file with the Company.

12. C.O.D. Cash Collect Shipments

Company shall use reasonable care regarding written instructions related to "Cash/Collect" on "Deliver (COD.)" shipments, bank drafts, cashier's and/or certified checks, letter(s) of credit and other similar payment documents and/or instructions regarding collection of monies but shall have not liability if the bank or consignee refuses to pay for the shipment.

13. Costs of Collection. In any dispute involving monies owed to Company, the Company shall be entitled to all costs of collection, including reasonable attorney's fees and interest at 15% per annum or the highest rate allowed by law, whichever is less, unless a lower amount is agreed to by Company.

Response: Admit/agree.

43. SF PFF 43. Respondents refused to pay the destination charges.

Response: Admit that Respondents refused to pay destination charges that were not Respondents' responsibility. As destination agent for pre-paid shipments, SeaFair was responsible for collecting the destination charges from the consignees on the Sterling house bills of lading, and Respondents' terms and conditions state that all costs after arrival of vessel are for account of the consignee. (*See* Respondents' Appendix 1 at RX-APP-01-001). SeaFair's consistent inability to maintain internal recordkeeping standards and billing procedures resulted in its failure to timely collect the claimed destination charges. Consignees were often confused by the destination charge invoices issued by SeaFair due to lack of contextual information regarding the shipments at issue. (*See, e.g.,* Respondents' Proposed Findings of Fact 17-19; Respondents' Appendices 6, 9, and 10).

44. SF PFF 44. Respondents have not billed or collected from the shippers or consignees identified on its house bills of lading. *See Respondents' Response to SeaFair's First Interrogatories, No 7.* Attached as **Appendix 23** at SFOB-APP-23-0004-5 and SFOB-APP-23-0012-13.

Response: SeaFair admits that its obligation under its agreement with the Respondents was to "collect payment for the charges related to steamship lines, associated terminals, and other logistics companies on behalf of Sterling and its shipping agent, Atlantic..." (SeaFair Proposed Finding Of Fact ¶ 10). Accordingly, Respondents have not billed or collected from the shippers or consignees identified on the house bills of lading, because that is precisely one of the destination agent services for which it engaged SeaFair in the first place. It is the opinion of Respondents that SeaFair's billing and collection procedures were in disarray, which resulted in certain failures to collect destination charges in a timely and efficient manner. (*See, e.g.,* Respondents' Proposed Finding of

Fact 17-19; Respondents' Appendices 6, 9, and 10). For example, in at least one case, in August 2022 Respondents reached out to a consignee identified as having an outstanding invoice with SeaFair for which SeaFair sought payment from Respondents. (*See, e.g.*, Respondents' Proposed Finding of Fact 27-28; Respondents' Appendix 5). The consignee immediately made the requested payment to SeaFair. (*See, e.g.*, Respondents' Appendix 5; Respondents' Appendix 8 at RX-APP-08-002 ("SeaFair USA confirms that it has received the payment of \$3,438.50 from Century Distribution Systems, Inc. and the dispute over this invoice is resolved.")).

45. SF PFF 45. Respondents deny that shippers and consignees under the house bills are liable to Sterling for destination charges under the Terms and Conditions. See *Respondents' Responses to Request for Admission, No 3*, **Appendix 15** at SFOB-APP-15-0003-4 and SFOB-APP-15-0012-13.

Response: In the cited *Respondents' Responses to Request for Admission, No 3*, Sterling denied that "the shippers and consignees are liable to Sterling for freight charges and destination charges" because the framing of the question was unclear and destination charges were not defined by SeaFair – Sterling immediately clarified in the proceeding sentence that under the house bills of lading identified by SeaFair in its Request for Admission Exhibit 1 and related terms and conditions, "the shippers and consignees can be liable to the carrier for freight charges" and that "[e]very Person defined as 'Merchant' in clause 1 shall be jointly and severally liable to the Carrier for the payment of all Freight and charges and for the performance of the obligations of each of them hereunder." (Complainant's Appendix 15 at SFOB-APP-15-0003-4 and SFOB-APP-15-0012-13).

46. SF PFF 46. Respondents claim that SeaFair was responsible for the MSC charges because SeaFair acted as the agent for Respondents' customers who are defined as "merchants" under the terms and conditions of Sterling's house bills of lading. **Appendix 24** at SFOB-APP-24-0005-6. Their claim reads, in relevant part:

...the billing and collection of any local charges contracted and owed to SeaFair are the responsibility of SeaFair. Under Respondents' terms and conditions for its bills of lading, every Person defined as a "Merchant" "shall be jointly and severally liable to the Carrier for the payment of all Freight and charges and for the performance of the obligations of each of them hereunder. Any Person engaged by the Merchant to perform forwarding services with respect to the Goods shall be considered to be exclusively the Merchant's agent for all purposes, and any payment of Freight to such Person shall not be considered payment to the Carrier in any event whatsoever. Failure of such third parties to pay any part of the Freight to the Carrier shall be considered a default by the Merchant in the payment of Freight."

Response: The cited claim by Respondents in Appendix 24 at SFOB-APP-24-0005-6 asserts that the billing and collection of local charges were the responsibility of SeaFair, because that was SeaFair's obligation as Respondents' destination agent. SeaFair admits that its obligation under its agreement with the Respondents was to "collect payment for the charges related to steamship lines, associated terminals, and other logistics companies ..." (SeaFair Proposed Finding Of Fact ¶ 10; *see generally* Complainant's Appendix 19). The claim attributed to Respondents simply restates SeaFair's obligations. Further, on 18 of the 20 MSC MBLs identified by SeaFair in its own Appendix 12, SeaFair is listed as the "Consignee." (R-PFF 8). As SeaFair notes in SF-PFF 30, under MSC's MBL terms and conditions, consignees are considered "merchants."

Respectfully Submitted,

/s/ Ashley K. Kelley

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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 28th day of August 2023, the foregoing Responses to Complainant's Proposed Findings of Fact was served via electronic mail on:

Federal Maritime Commission
Office of the Secretary
secretary@fmc.gov

Federal Maritime Commission
The Honorable Erin M. Wirth
Chief Administrative Law Judge
Presiding Administrative Law Judge
judges@fmc.gov

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